

Monthly R&D Accrual Close Procedure

Loblolly Ridge Therapeutics | Finance (Accounting) | 2026-02-01 | v2.0

Most Loblolly Ridge R&D work is done by partners who invoice after the work is performed, often weeks later. To report expense in the month the work happens, Finance estimates the value of services performed but not yet invoiced at each month end. This procedure explains who provides what, by when, how each type of contract is estimated and how estimates are trued up. Version 2.0 applies from the February 2026 close onward.

Scope and owners

The procedure covers all R&D expense recorded against work orders, change orders and purchase orders, for every cost object and budget category: clinical CRO and sites, clinical pass-through, nonclinical CRO, CMC and clinical supply, research services and consumables, allocated personnel, and consultants and other.

The Controller owns the close. Program owners in clinical operations, nonclinical safety, CMC and discovery own the activity estimates for their partners. Outsourcing & Procurement keeps the work order and change order values in the contract repository up to date so that accruals are measured against the right scope.

The close calendar

All dates are working days after month end.

- Working day 1 – Accounting sends each program owner the open work-order list with last month's accrual and invoices received.
- Working day 3 – partner activity reports are due: sites activated, visits completed and units delivered for CROs; phase of completion for GLP studies; batch stage for CDMOs.
- Working day 4 – program owners confirm or adjust the estimate and explain any change of more than 10% from the prior month.
- Working day 5 – the Controller reviews, posts the accrual journal in the finance system and signs off the R&D close.

Estimation methods by contract type

Each work order is tagged with one method when it is set up. A change of method needs Controller approval.

- CRO services: units from the activity report multiplied by contracted unit rates, plus milestones reached.

- Clinical pass-through (site payments, investigator fees): the CRO's estimate of visits completed, because site invoices lag by one to three months.
- GLP and nonclinical studies: percentage of completion by study phase (protocol, in-life, analysis, draft report, final report).
- CDMO manufacturing: stage reached for each batch (materials, manufacture, testing, release).
- Fixed-fee services: straight-line over the service period.
- Purchase orders: expense on goods receipt in the finance system.

Review and sign-off

Finance reviews each activity report used for an accrual when it is logged in the deliverables tracker, checking that units match the contracted scope and that the report covers the right period. Quality and technical reviews of the same partner deliverables happen separately and do not hold up the close.

Personnel cost is not accrued. It is allocated to cost objects each month from the quarterly FTE estimates, so the program view of personnel cost is an estimate.

True-up and exceptions

When an invoice arrives, it is matched to the accrual. A difference above \$25,000 or 10% of the accrued amount is investigated with the program owner, and the accrual is trued up in the month the invoice arrives. Earlier months are not restated.

If an activity report is missing at working day 3, the program owner estimates from the prior month's run rate and the work plan, and the journal line is flagged. Two consecutive missing reports from the same partner are raised with Outsourcing & Procurement as an oversight issue.

Records

Accrual workpapers are kept in the Finance close folder for each month: the open work-order list, activity reports, program owner confirmations and the posted journal. Owners use the accrual estimate template and, for CANOPY-1, the CRO portal job aid for downloading activity data.

Changes in version 2.0

- Activity report deadline moved from working day 4 to working day 3 to give program owners a full day to review.
- Percentage of completion by study phase added for GLP studies, replacing straight-line accrual.
- Investigation threshold for invoice differences set at \$25,000 or 10%.